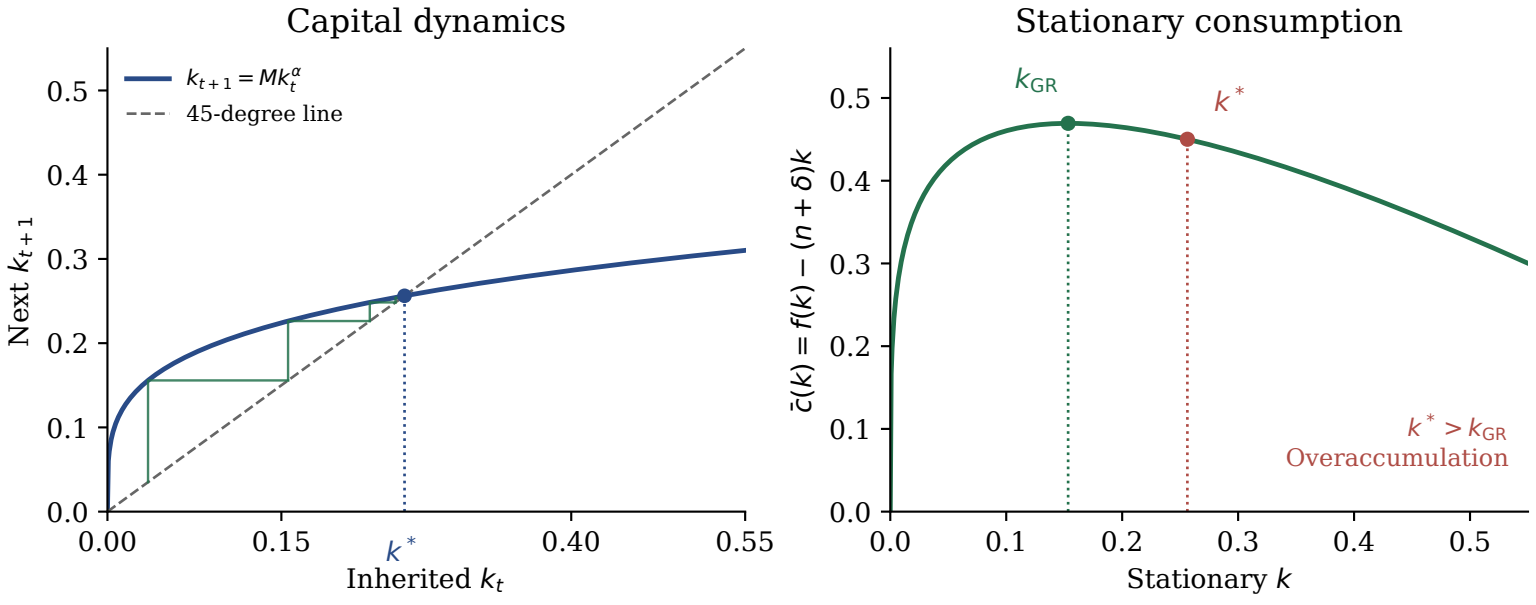
Capital dynamics
$k_{t+1} = Mk_t^{\alpha}$
45-degree line
Next k_{t+1}
Inherited k_t
k^*
0.00
0.15
0.40
0.55
0.0
0.1
0.2
0.3
0.4
0.5
Stationary consumption
k_{GR}
k^*
$\bar{c}(k) = f(k) - (n+\delta)k$
$k^* > k_{GR}$
Overaccumulation
Stationary k
0.0
0.1
0.2
0.3
0.4
0.5